CAPITAL, IN PLAIN WORDS

SBA 7(a) loans.

One of the most common ways people in the US fund buying or growing a small business. Here's how it works.

01

Who lends?

A bank or approved lender makes the loan. The US Small Business Administration doesn't hand you the money; it guarantees part of the loan.

> **That guarantee lowers the lender's risk, so more people can get a yes.**

02

How much is guaranteed?

The SBA guarantees up to 85% of loans of $150,000 or less, and up to 75% of larger loans.

03

What can it pay for?

Buying a business (a change of ownership), working capital, equipment, real estate for the business and refinancing business debt.

> **Yes, it can help you buy an existing business.**

04

How long to repay?

Usually up to 10 years. Up to 25 years when the loan finances real estate.

Your next step:

talk to an SBA lender before you need one.

We're building Ownership Connect with lenders at the table, so you know who to call.

Educational content only. Not financial advice. Source: US Small Business Administration, 7(a) loan program terms.